He is dealing with electric panels till now and has good contacts with the switchgear buyers from Kolhapur region. But Mr. Patil feels that given the time, M/s Kadam Brothers will recover and because of their experience and reputation as well as contacts, the firm will serve SWITHEX satisfactorily. But he has not time as the Regional Sales Manager is pressurizing Mr. Patil to increase quotas of his dealers fast or get them replaced. "We want quick sales"is the motto of the Regional Sales Manager.

Questions :

1. What alternatives would you suggest for Mr. Patil to solve dealership and sales problems ? **8**
2. Examine SWITCHEX's policy of quick sales, in the context of its product range. **8**

576435 (76)
676635 (76)

MBA (4th Semester)

Examination, April-May, 2014

Branch : Management

RETAIL MANAGEMENT (NEW)

Time Allowed : Three Hours

Maximum Marks : 80

Minimum Pass Marks : 32

Note : (i) All sections are compulsory.

(ii) There are five (5) sections in the question paper. Section I to Section IV has internal choices, out of three questions you have to attempt any two questions. Section V is case study which is compulsory.

Section - I

Q. 1. Discuss the factors that impact the location strategy of a retail location. 8

Q. 2. Explain the concept and framework of retail management. 8

Q. 3. What is the purpose of developing a formal retail strategy ? How could a strategic plan be used by a restaurant chain. 8

Section - II

Q. 1. The supply chain in food distribution in India is inefficient. Can organized retail help in moving these inefficiencies ? Explain how this can take place. 8

Q. 2. Explain the importance of merchandise planning in merchandise management with a suitable example. 8

Q. 3. Sonali is a buyer in a department store and wants to plan for the next month. Based on past sales records and an analysis of market condition, sales are estimated to be Rs. 2,00,000. Reductions planned for the month are Rs. 20,000. An ending inventory valued at Rs. 45,000 is planned. If beginning inventory had a value of Rs. 40,000, what are planned purchases for the month. 8

Section - III

Q. 1. What are the elements of retail price ? Why do some retailers opt for markdowns only at the end of the season. 8

Q. 2. What is supply chain integration and why is it relevant to retail organization ? 8

Q. 3. Write short notes on (any two) : 4×2=8

(a) Inventory Management

(b) Strategic Profile Model

(c) Reverse Logistics

Section - IV

Q. 1. Explain the components of retail promotion mix with a suitable example. 8

Q. 2. Is the concept of Integrated Marketing Communication relevant to a retailer ? Explain 8

Q. 3. Explain the concepts of lifestyle merchandising. Is this concept applicable in India ? 8

Section - V

Case Study : 16

SWITHEX GEARS LTD.

SWITHEX is an eight years organization manufacturing entire range if switchgear products.

it has a foreign collaborator. Its manufacturing unit is located near Delhi with sales spread over the entire country. The market of switchgears is dominated by two major companies having market shares of 40% and 37% respectively. SWITCHEX has established a market share of 14% and remaining 9% market share is divided among three other manufacturers. The competition between the first three organizations is quite fierce. During the initial years, SWITCHEX concentrated in the Northern region and established itself as a reputed manufacturer of switchgears. Since the last two years, the company is trying to establish its presence in the Western region.

The pricing strategy of the company is always to be lower than the major two competitors by about

8 -10%. Its discounting policy is also flexible and sometimes it deals directly with the customers and offers them suitable discounts.

It has appointed dealers in all its markets, usually district-based. For servicing its dealers in the Western region, SWITHEX has opened up a Regional Office at Mumbai and Branch Offices as Pune, Vadodra and Indore.

Its Pune office is headed by Mr. Patil, a competent Electronics Engineer with a Post-graduation in Management. Since the company wants to establish in the Western region, Mr. Patil is pressurized to 'accept' higher quotas. In turn, he has no option but to increase quotas of his dealers.

These days Mr. Patil is faced with a tough decision. His dealer Kolhapur is the major cause for concern.

The dealer is a partnership firm M/s Kadam Brothers. This dealer is with Mr. Patil for the past two years. Except for the last six months, the performance of this dealer was highly satisfactory. However, six months back one of the partners decided to leave the partnership firm and had to be paid his share in cash causing financial problems for the firm. Mr. Patil believes this is one of the reasons for the SWITCHEX for the sales. Moreover, the sales have also suffered. It is reported that the remaining two partners are also concentrating on their other business activities and consequently have less time for developing the business of SWITCHEX. Those partners have been assuring Mr. Patil that they will soon have another competent partner and thus will come out of their problems quickly. But no progress is reported in the matter till now.

In the meantime, another dealer from the same area has approached Mr. Patil for the dealership.